Week 2 – Blowing the Whistle on Wall Street: Ethical Perspectives on the Eric Ben-Artzi

Deutsche Bank is one of the largest financial institutions in the world, headquartered in Frankfurt, Germany. During the global financial crisis of 2007–2010, banks across the world suffered enormous losses on complex financial instruments known as credit derivatives. These instruments are essentially contracts whose value is derived from underlying credit risks, such as the likelihood that a borrower will default on a loan. Among the most significant of these were Leveraged Super Senior (LSS) tranches, a type of credit derivative in which Deutsche Bank held a portfolio with a notional value of approximately $120–130 billion – the largest such portfolio on Wall Street.

A critical component of these LSS tranches was the so-called 'gap option': the difference between the collateral posted by the buyer of an LSS note and the expected losses the seller had agreed to cover. Accurately valuing this gap option was essential for the bank to present a true picture of its financial health to investors, creditors, and regulators.

The problem:

Between mid-2007 and 2010, Deutsche Bank failed to accurately value the gap option component in its LSS portfolio. By inflating the reported value of these derivatives, the bank was able to conceal billions of dollars in potential trading losses. This misrepresentation allowed Deutsche Bank to maintain a carefully crafted public image that it was weathering the financial crisis more successfully than its peers – many of which required government bailouts or experienced catastrophic declines in their share prices.

The scale of the overvaluation was staggering. Whistleblowers later estimated that the bank had hidden up to $12 billion in paper losses during the financial crisis, although the U.S. Securities and Exchange Commission (SEC) put the figure at over $1.5 billion when the case was eventually settled.

The whistleblower: Dr Eric Ben-Artzi

Dr Eric Ben-Artzi is an Israeli-born mathematician who holds a PhD from the Courant Institute at New York University. He joined Deutsche Bank as a Quantitative Risk Analyst, bringing specialist expertise in the mathematical models and calculations used to value and assess risks associated with derivatives. Prior to Deutsche Bank, he had worked in quantitative roles at Citigroup and Goldman Sachs.

During his time at Deutsche Bank, Ben-Artzi discovered significant irregularities in how the bank was valuing its credit derivatives portfolio. He identified that the gap option was being systematically mispriced, with the effect of concealing the true extent of the bank's exposure to losses.

Internal reporting and retaliation

Ben-Artzi initially followed his employer's own internal procedures. He reported his concerns internally, raising the issue through Deutsche Bank's compliance and regulatory affairs channels. He later described this process as follows: *"I reported internally first and extensively, in accordance with bank policies and procedures."*

However, the bank's response was not to investigate and correct the problem. Instead, Ben-Artzi found that his concerns were effectively ignored. Rather than acknowledging the valuation errors, the bank appeared to be more interested in determining what Ben-Artzi knew and in managing his continued presence at the firm. He was subsequently questioned about his understanding of the models involved, and ultimately he was dismissed from his position.

Ben-Artzi later reflected: *"I never wanted or expected to be a whistleblower. As the problem was not acknowledged or corrected, I felt compelled to inform the proper law enforcement authorities. Unfortunately, my family and I are paying a heavy price for doing the right thing."*

Reporting to the SEC

Finding the internal compliance route to be a dead end, Ben-Artzi turned to the U.S. Securities and Exchange Commission (SEC). In 2010–2011, he – along with at least two other former Deutsche Bank employees acting independently – approached the SEC and reported the bank's improper accounting practices.

The SEC's Whistleblower Program, established under the Dodd-Frank Wall Street Reform and Consumer Protection Act (2010), offered financial awards of 10–30% of sanctions collected in successful enforcement actions exceeding $1 million, as well as legal protections against employer retaliation. In May 2015, after a five-year investigation substantially driven by the whistleblowers' disclosures, Deutsche Bank agreed to pay a $55 million fine to the SEC to settle charges that it had inflated the value of its derivatives portfolio. Critically, the bank was not required to admit wrongdoing.

The Aftermath: A Principled Refusal

The SEC determined that Ben-Artzi was entitled to a whistleblower award of $8.25 million. In a move that shocked the financial world, Ben-Artzi publicly rejected the award.

Writing in the Financial Times, he explained his reasoning. He argued that the $55 million fine was borne entirely by Deutsche Bank's shareholders – the very people the fraud had victimised – while the senior executives who had authorised and benefited from the misrepresentation retired with multi-million-dollar bonuses. He stated: *"Deutsche did not commit this wrongdoing. Deutsche was the victim. Although I need the money now more than ever, I will not join the looting of the very people I was hired to protect."*

Ben-Artzi specifically criticised the 'revolving door' between Deutsche Bank and the SEC. He highlighted the case of Robert Rice, who had served as Deutsche Bank's lead counsel overseeing the bank's internal investigation into the allegations, and who subsequently became Chief Counsel at the SEC. Ben-Artzi argued that this conflict of interest explained why the SEC chose to fine the bank rather than pursue the individual executives responsible.

Personal consequences

The personal cost to Ben-Artzi was severe. His career on Wall Street was effectively ended. Despite applying to numerous financial institutions, he was unable to secure employment in the banking sector – a phenomenon commonly referred to as being 'blackballed'. He relocated to Israel and eventually found work at a financial technology start-up. Having rejected the $8.25 million award (although he later accepted it under continued financial pressure), Ben-Artzi publicly disclosed that he was facing near-bankruptcy, stating that he would need *"a near miracle to avoid bankruptcy."*

Required:

Task 1: Utilitarian Analysis

Utilitarianism holds that the morally right action is the one that produces the greatest good (or least harm) for the greatest number of people. Consider the **consequences** of Ben-Artzi's decision to blow the whistle.

Discussion prompts:

- Who benefited from the whistleblowing? Consider investors, shareholders, the wider public, future market participants, and the integrity of financial regulation.
- Who was harmed? Consider Ben-Artzi and his family, Deutsche Bank's shareholders (who bore the $55 million fine), and the bank's employees and reputation.
- Would the aggregate consequences have been better or worse if Ben-Artzi had remained silent?
- Does the fact that no individual executives were punished affect the utilitarian calculation? Was the overall 'utility' of the whistleblowing diminished by the regulatory outcome?
- Should the long-term deterrent effect on corporate misconduct be factored into the utilitarian analysis?

Task 2: Deontological Analysis

Deontological ethics (particularly Kantian ethics) focuses on duties, rules, and the inherent rightness or wrongness of actions, regardless of their consequences. Consider Ben-Artzi's actions in terms of moral duties and principles.

Discussion prompts:

- Did Ben-Artzi have a moral duty to report the fraud? If so, where does this duty originate – from his professional role, from universal moral law, or from both?
- Apply the Categorical Imperative (First Formulation): Could the maxim 'when you discover corporate fraud, you should report it to the authorities' be universalised without contradiction?
- Apply the Categorical Imperative (Second Formulation): Was Deutsche Bank's concealment of losses treating investors merely as a means to an end (i.e., protecting executives' bonuses and reputations)?
- From a Kantian perspective, is the morality of whistleblowing affected by the personal consequences to the whistleblower, or is the act right regardless of outcome?
- Does Ben-Artzi's initial attempt to report internally before going to the SEC satisfy any deontological obligation to his employer?

Task 3: Virtue Ethics Analysis

Virtue ethics (rooted in Aristotelian philosophy) focuses on the character of the moral agent rather than on rules or consequences. It asks: what would a virtuous person do?

Discussion prompts:

- Which virtues did Ben-Artzi demonstrate through his actions? Consider courage, justice, honesty, and integrity.
- Did Ben-Artzi exhibit practical wisdom (phronesis) in how he handled the situation – first reporting internally, then externally, and finally making a public stand by rejecting the financial award?
- Could remaining silent in the face of known fraud be considered a vice (e.g., cowardice, complicity, dishonesty)?
- How does the concept of eudaimonia (human flourishing) apply? Ben-Artzi stated he could 'feel that he was not a thief' and that he earned his living honestly. Does this suggest that acting virtuously contributed to his flourishing, despite the material hardship?
- Would Aristotle consider the financial and career sacrifices relevant to the ethical evaluation, or would the focus remain on the quality of Ben-Artzi's character?